

Kentucky

GENERAL INFORMATION

1. Kentucky **does maintain** a list of eligible surplus lines insurers.
2. Kentucky **does** have a Surplus Lines Association.
3. Kentucky **does not** have an Export List.
4. Kentucky **does** have an industrial insured exemption (see Appendix C) as well as a statutory exempt commercial purchaser exemption. It also recognizes the ECP definition under NRRRA.
5. **Surplus lines tax:** 3% plus 1.8% surcharge, payable by broker (See Other Comments section #1).
6. Kentucky **does not** allow the formation of domestic surplus lines insurers in the state.

ELIGIBILITY AND FILING REQUIREMENTS (ALL INSURERS)

1. **Service of Process form.**
2. **Form 916** – Kentucky Surplus Lines Insurer Information Sheet.
3. Evidence of Financial Qualifications as required under Ky. Rev. Stat. Ann. § 304.10-070.

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

Kentucky may not prohibit a surplus lines broker from placing nonadmitted insurance with, or procuring nonadmitted insurance from, a nonadmitted insurer domiciled outside the U.S. that is listed on the Quarterly Listing of Alien Insurers maintained by the International Insurers Department of the NAIC.

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

Kentucky may not impose eligibility requirements on, or otherwise establish eligibility criteria for, nonadmitted insurers domiciled in a U.S. jurisdiction, except:

- Kentucky may require that the insurer be authorized to write the type of insurance in its domiciliary jurisdiction; and
- Kentucky may require that the insurer have capital and surplus or its equivalent under the laws of its domiciliary jurisdiction which equals the greater of:
 - The minimum capital and surplus requirements under the law of Kentucky;
 - or \$15,000,000.

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

1. Ocean marine and foreign trade insurances.
2. Insurance on vessels, craft of hulls, cargoes, marine builder's risk, marine protection and indemnity or other risks, including strikes and war risks commonly insured under ocean or wet marine forms of policy.
3. Insurance on subjects located in, resident of, or to be performed wholly outside of Kentucky, or on vehicles or aircraft owned and principally garaged outside Kentucky.
4. Insurance on operations or railroads engaged in transportation in interstate commerce and their property used in such operations.
5. Insurance of aircraft owned or operated by manufacturers of aircraft or of aircraft operated in commercial interstate flight or cargo of such aircraft or against liability other than workers' compensation and employers' liability arising out of the ownership, maintenance or use of such aircraft.
6. Industrial Insurance.

OTHER COMMENTS OR REQUIREMENTS

1. There is also a local government premium tax (LGPT) imposed by some municipalities, at varying rates depending on the line of business and location.

All policies (with the exceptions listed in Ky. Rev. Stat. Ann. §136.392(5)) shall use the surcharge rate of 1.8%.

2. Every insurance contract procured and delivered as a surplus lines coverage must have conspicuously stamped upon the face page, initialed by or bearing the name of the surplus lines broker who procured it, the following:

“This insurance has been placed with an insurer not licensed to transact business in the Commonwealth of Kentucky but eligible as a surplus lines insurer. The insurer is not a member of the Kentucky Insurance Guaranty Association. Should the insurer become insolvent, the protection and benefits of the Kentucky Insurance Guaranty Association are not available.”

3. Kentucky enacted legislation that authorizes associations and member underwriters authorized to transact business in Kentucky to qualify as eligible surplus lines insurers if they meet the minimum capital and surplus standards and, if applicable, are listed on the NAIC's Quarterly Listing of Alien Insurers.
4. Kentucky Bulletin 2020-05 describes the broker's obligations with respect to remittance of surplus lines premium tax to the department. The bulletin can be found at:

<https://insurance.ky.gov/ppc/Documents/Bulletin2020-05-PaymentofQuarterlySurplusLinesPremiumTaxes.pdf>.

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